

# GLOBAL SALES INCENTIVES

## AUDIT PROGRAM #58-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

| DATE CHANGED  | SECTION #                   | SUBTITLE IN SECTION                                             | CHANGED BY (NAME) | COMMENTS                                                                                                                                                                                |
|---------------|-----------------------------|-----------------------------------------------------------------|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| April 2026    | All                         | All                                                             | Rie Horikawa      | Updated to reflect system change to Success Factor (SF)<br>Removed testing for IBM as Processor.<br>Added clarity to some sections.                                                     |
| March 2025    | EP001.P; EP004.P; & AR001.P | Manual Adjustments, IPL Change Management, Accruals & Deferrals | Cathy Romano      | Minor updates added for clarity.                                                                                                                                                        |
| March 2024    | All                         | All                                                             | Cathy Romano      | Updated links, added clarity to some sections, added Sales Mgmt vs GSI responsibilities to applicable sections, removed Canada specific process since now covered under Global Process. |
| February 2023 | All                         | All                                                             | CA&AS             | Converted from Notes into a Word document and into a Box folder                                                                                                                         |
| April 2023    | Data Protection             | DA001.P                                                         | Don Dobrzelewski  | Added Privacy Testing                                                                                                                                                                   |

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# GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

## PROCESS AND OBJECTIVE

For the purpose of this audit program, IBM Global Sales Incentives (GSI) is defined as the process by which eligible sellers are motivated to meet or exceed their sales-related business objectives. The GSI organization is a steward of IBM's Incentives Policies and end to end execution. The final monthly commission payment to sellers is calculated by the IBM Seller Incentives (ISI) application and transmitted to the country payroll.

IBM's sales incentives process is a global\*, end-to-end workflow, with execution responsibilities shared by both Sales Management and the GSI organization. (The key responsible individuals are indicated within the control assessment questions.) The process is dependent on inputs from various upstream processes / systems (e.g., Finance, Accounting, Quote to Cash (Q2C), Chief Information Office (CIO), SuccessFactors, etc.). The IBM GSI process continuously adapts to support the changing needs of the business. While it is important to consider the processes that were in effect during the audit period, it is also important to consider the current processes when making recommendations.

The auditor will evaluate the adequacy of process execution by both Sales Management and the GSI organization to ensure appropriate, accurate and timely commission payments.

NOTE: \* Local legal requirements prevail.

Incentive Plan Letter Deployment and Execute sections can be performed initially as an End to End (horizontal) review of how process execution impacts results for individual sellers and then, if indicated, a deeper review (vertical) of each test section can be performed.

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PLANNING: Audit Program Risk Alignment

Global Sales Incentives

| Defined Risk Area                             | Audit Risk Level | Key Control Question                  | Test Number                        |
|-----------------------------------------------|------------------|---------------------------------------|------------------------------------|
| Manual Adjustments                            | High             | Execute                               | EP004.P                            |
| Incentive Letter Deployment                   | Medium           | Incentive Plan Letter Deployment      | IP001.P                            |
| Incentive Plan Letter (IPL) Change Management | Medium           | Execute                               | EP001.P                            |
| Manually Assessed Incentives                  | Medium           | Execute                               | EP003.P, EP006.P                   |
| Other Manual Execution                        | Medium           | Execute                               | EP002.P, EP004.P, EP005.P, EP007.P |
| Accruals and Deferrals                        | Medium           | Analyze and Report                    | AR001.P                            |
| Access Management and Data Protection         | Medium           | Data Protection and Access Management | DA001.P, DA002.P                   |
| Plan Design and Measurements                  | Low              | Plan Design and Measurements          | PD001.S, PD002.S                   |

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### PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

This table shows what data can be reviewed and analysis techniques.

| Data to be Analyzed                        | Analysis to be Performed                                              | Possible Anomalies                                      | Concern                                                                                                                                        |
|--------------------------------------------|-----------------------------------------------------------------------|---------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| Percent of Target Incentive (TI) by seller | Range of TI percentage earned within Business Units and/or plan types | Outliers of either high or low percentage of TI         | Unauthorized or errors in quota overrides<br><br>Issues with Manual Achievement Adjustment (MAA) / Manual Monetary Adjustment (MMC) processing |
| Reports of MAAs and MMCs                   | Duplication of MAAs or MMCs (excluding advances) transactions         | Same amount for the same seller in the same time period | Duplicate achievement / payment                                                                                                                |

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PLANNING: Reference Material

Incentives Workplace: <https://w3.ibm.com/w3publisher/global-sales-incentives/incentives-workplace>

The Incentive Workplace contains information about the incentive plan design framework, including educational presentations that provide material for the various types of incentive plans, as well as plan details at the worldwide business unit level. The primary audience is sales managers and sellers.

### Eligibility Rules

The purpose of this document is to define the criteria for determining an employee's eligibility for an incentive plan while aligning with the global Framework for Incentive Plan Types.

### Territory & Quota Guidelines

Provides direction for setting territories and calculation of quotas for employees on a plan with a quota-based element.

### Achievement Guide

The purpose of this guide is to provide a view of the achievement methodology used in the calculation of commission payments.

Blueworks Live (BWL): <https://www.blueworkslive.com/sLogin.html>

Processes for the GSI team are documented in an internal Cloud tool called Blueworks Live. Instructions for accessing BWL are provided by the team being audited.

### General References

Privacy @IBM: <https://w3.ibm.com/ibm/privacy/>

Resource to help uphold IBM's commitment to privacy and data protection.

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### PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

| Description of Fraud Risk           | Typical Controls that should Detect the Fraud Risk | Testing Approach                                                                                                                 |
|-------------------------------------|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Preferential treatment of employees | Manual Adjustments process                         | Test if manual achievements and manual payments are adequately supported and have been properly approved if required.            |
|                                     | Debit /overpayment balance monitoring              | Test recovering actions are aligned with the process. Verify if GSI write-offs were properly justified and approved if required. |

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

# GLOBAL SALES INCENTIVES

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Design and Measurements

#### Objective:

Determine if delays in offering / changes to IPLs, or execution of manual adjustments, debits / overpayments, or direct to payroll requests were the result of inaccurate or changed plan designs and/or measurement definitions.

#### Risk/Exposure:

Failure to deploy Incentive Plan Letters accurately and timely to eligible sellers may compromise IBM's sales strategies and may increase the risk of inaccurate seller payments, which could lead to seller dissatisfaction.

# GLOBAL SALES INCENTIVES

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Design and Measurements

Secondary Test: Plan Element Measurements (PD001.S)

#### Objective:

Determine if delays in offering / changes to IPLs, or execution of manual adjustments, debits / overpayments, or direct to payroll requests were the result of inaccurate or changed measurement definitions.

#### Approach:

##### **Global Sales Incentives**

For any sellers selected for testing in IP001.P, EP001.P, EP002.P, EP004.P, and EP007.P whose payments were impacted by inaccurate, delayed, or changes to measurement definitions:

- Request detailed explanations of the measurement definition error / delay / change.
- Determine if additional sellers were impacted by the error / delay / change. If so, verify actions were taken (if needed) to correct payments to these sellers.
- Determine actions taken to address issues with the measurement definition process (if applicable).

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Design and Measurements

Secondary Test: Sales Incentive Design (PD002.S)

#### Objective:

Determine if delays in offering / changes to IPLs, or execution of manual adjustments, debits / overpayments, or direct to payroll requests were the result of inaccurate or changed plan designs.

#### Approach:

##### **Global Sales Incentives**

For any sellers selected for testing in IP001.P, EP001.P, EP002.P, EP004.P, and EP007.P whose payments were impacted by inaccurate, delayed, or changes to plan design:

- Request detailed explanations of the plan design error / delay / change.
- Determine if additional sellers were impacted by the error / delay / change. If so, verify actions were taken (if needed) to correct payments to these sellers.
- Determine actions taken to address issues with the plan design process (if applicable).

## GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Incentive Plan Letter Deployment

#### Objective:

Determine if Incentive Plan Letters were offered timely.

#### Risk/Exposure:

Failure to offer Incentive Plan Letters timely to eligible sellers may compromise IBM's sales strategies for revenue growth and/or could lead to seller dissatisfaction.

# GLOBAL SALES INCENTIVES

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Incentive Plan Letter Deployment

Primary Test: Incentive Plan Letter Deployment (IP001.P)

#### Objective:

Determine if delays in offering and/or accepting Incentive Plan Letters impacted the timeliness of payment.

#### Approach:

From a report of all sellers:

#### **Sales Management**

- Select a sample of sellers with extensive delays between the start date and the offer date. Request explanations for the causes (for example, Sales Managers' delays in updating SuccessFactors eligible job codes) and impacts of delays.

#### **Global Sales Incentives**

- Select a sample of sellers with > 30 days delay between the offer date and the acceptance date and confirm GSI communicated with the Sales Managers.

## GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Objective:

See objectives noted in each test.

Risk/Exposure:

See risks noted in each test.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: IPL Change Management (EP001.P)

Note: If the seller's plan is ended, the GSI team no longer has visibility to, nor do they have a need to know the employee's status subsequent to the sales plan eligibility change. The seller's manager is responsible for managing seller eligibility to be on a plan. The reason for change in eligibility may be sensitive personal information which should not be shared by the manager with GSI.

#### Objective:

Determine if updates to territory (which may result in quota changes) made after the deployment period deadline were supported by valid business justification.

Determine if appropriate actions were taken for cancelled Seller Profiles (SP) / Incentive Plan Letters (IPL) to ensure accurate commission balance.

#### Risk/Exposure:

Making unjustified changes to Territory and Quota could result in inaccurate payments and / or seller dissatisfaction. Failure to take appropriate actions for cancelled plans with payments could result in overpayments.

#### Approach:

##### **Global Sales Incentives**

From a report of territory changes, confirm changes made to Territories post deployment (ISI "freeze" date) were in compliance with the process.

Determine if a change in the IPL (e.g., Territory, Quota, early ended, etc.) resulted in a MAA, MMC, Debit or Direct to Payroll request. If so, see EP004.P, EP002.P, EP007.P for further testing.

From a report of cancelled IPLs with payments, select a sample of sellers and confirm action was taken to address the balance.

# GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

## CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: Debits / Overpayments (EP002.P)

### Objective:

Determine if outstanding debits / overpayments were actioned according to the process guidelines.

### Risk/Exposure:

Failure to recover debits / overpayments could result in a financial risk to IBM.

### Approach:

#### **Global Sales Incentives**

Review the Overpayment process.

- If the employee went off plan with a debit / overpayment, were appropriate actions taken to address debit /overpayment recovery.
- If the seller has an ended plan with a debit / overpayment balance and has a new active IPL, was the debit /overpayment transferred.

From a report of MMCs, determine if GSI write-offs of debit / overpayment balances were executed according to the process guidelines.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: Other Incentives (EP003.P)

#### Objective:

Determine if payments to sellers were properly and timely authorized under the terms of the Other Incentives programs and were supported by appropriate documentation.

#### Risks/Exposures:

Authorizing payments for which the objectives were not accomplished.

#### Approach:

##### **Sales Management and Global Sales Incentives**

Select a sample of sellers who were paid for an Other Incentive program. For the related programs, review the program terms. Request the Worldwide Other Incentives tool form that contains the incentive history and supporting documentation. For each sample, determine if the payment was approved per the criteria of the program.

See EP004.P and EP007.P for MMC and Direct to Payroll processing of Other Incentive payments.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: Manual Adjustments (EP004.P)

Note: A Manual Achievement Adjustment (MAA) and Transaction Adjustment (also known as CMA) creates or adjusts achievement (such as revenue) to be used in a payment calculation. A Manual Monetary Claim (MMC) creates or adjusts an actual payment amount (currency).

#### Objective:

Determine if MAAs, CMAs, and MMCs are executed according to the process guidelines.

#### Risk/Exposure:

Incorrect or delayed processing could result in inaccurate and/or delayed payments.

#### Approach:

##### **Global Sales Incentives and/or non-GSI Data Providers**

Review the process documentation for MAAs, CMAs, and MMCs, including a list of the various adjustment/claim types and the types of approvals required, if applicable. Select a sample from reports of processed MAAs, CMAs, and MMCs.

- Compare the values processed with the supporting documentation to determine accuracy.
- Request the reason for the adjustment/claim.
- If the sample required an approval, was the correct approval received based on the reason for the adjustment / claim.
- Confirm the adjustment/claim was set up properly as either temporary or permanent.
- If the adjustment/claim was temporary, request evidence that proper actions were taken in the following month as needed per the documented process if applicable.

If the seller had more than one MAA for the same element for the same amount or more than one MMC for the same amount and it appears to be a potential duplicate, then request the corresponding duplicate report and confirm action was taken for any confirmed duplicates.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: High Payment Review (EP005.P)

#### Objective:

Determine if the High Payment Review process was correctly executed prior to the monthly commission close.

#### Risk/Exposure:

Failure to review “high” payments may result in unauthorized release of payments.

#### Approach:

##### **Global Sales Incentives**

Select a sample from the High Payment report and/or “high payments” from the Direct to Payroll report.

#### Confirm:

- Per the process, GSI management reviewed and agreed to the release of “high” payments prior to commission close.
- Appropriate actions were taken as directed by GSI management.

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## CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: Manually Assessed Plan Elements (EP006.P)

### Objective:

Determine if Sales Managers' assessments of achievement were timely.

### Risk/Exposure:

Failure to assess sellers may result in missed or delayed payments which could lead to seller dissatisfaction.

### Approach:

#### **Sales Management**

Review the education materials for manually assessed plan elements published on the Incentives Workplace (IW).

From a report of all sellers, select a sample of sellers assigned to pool plans or with Management by Objectives (MBO) and/or Metric Based Scoring (MBS) elements.

- For any sellers without payment in their full plan period, request the Sales Manager confirm that the seller's performance was considered.

From a report of MMCs and a report of Direct to Payroll requests, select a sample of payments from a large signing engagement.

- Request explanation for any extensive delays in executing the claim (from deal close through payment processing).

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Execute

Primary Test: Direct Submissions Payments (EP007.P)

#### Objective:

Determine if GSI took appropriate action on direct submissions posted to SuccessFactors (SF) according to process requirements.

#### Risk/Exposure:

Direct submissions posted to SF without proper execution may result in overstated or understated payments.

#### Approach:

##### **Global Sales Incentives**

From a report(s) of direct submissions to SF select a sample:

- Confirm the payment was appropriately authorized (based on the process generating the payment).
- Verify the input to SF matches the source document.
- If a direct submission was required to adjust earnings, and the earnings adjustment needed to be reflected on the commission statement, confirm an MMC was processed accurately. (See EP004.P for MMC processing.)

## GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Analyze and Report

#### Objective:

Determine if quarterly incentives spending accruals and deferrals were approved and reported to IBM Accounting in accordance with published Worldwide Incentive Spending Accrual Guidelines.

#### Risk/Exposure:

Inaccurate financial measurements and/or reported incentive expense could be overstated or understated.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Analyze and Report

Primary Test: Accruals and Deferrals (AR001.P)

#### Objective:

Determine if quarterly incentives spending accruals and deferrals were approved and reported to IBM Accounting in accordance with published Worldwide Incentive Spending Accrual Guidelines.

#### Approach:

##### **Global Sales Incentives**

Review the accrual/deferral process guidelines applicable to the unit being audited. Understand what follow-up actions need to be taken if there is a significant under accrual or over accrual in a specific plan cycle. Sample at least two consecutive quarters of accruals/deferrals for the following:

- Evidence that quarterly accrual/deferral was prepared in accordance with the worldwide guidelines, including the use of any required tools.
- Evidence that quarterly accrual/deferral was approved by appropriate management.
- Evidence the quarterly accrual/deferral booked to the ledger reconciles to applicable source documentation.
- Evidence that any significant over/under accrual conditions from earlier plan cycle were adjusted in the ledger.
- Evidence that any significant over/under accrual conditions from prior quarter were analyzed for root causes and that those causes were considered in the current quarter's calculations.
- Evidence the deferral amortization start and end dates used to trigger amortization were loaded correctly to the ledger for non-SAP countries and communicated to Accounting to load for SAP countries.

Review documentation showing the Annual Deferred Commission Expense Data Validation was performed by GSI Finance to ensure CEA tool data was defined appropriately, confirming:

- Evidence showing required reviews took place between the GSI Financial Planning team and various other IBM teams to ensure necessary Commissions Expenses and Accrual (CEA) tool coding updates (where applicable) were appropriately identified and communicated to CIO.
- Evidence showing GSI Financial Planning team obtained applicable measurement data to ensure measurements in CEA were appropriately tagged to defer the correct percentages.
- Evidence showing GSI Financial Planning team published the approved amortization periods obtained from WW Accounting in the Quarterly Accrual Guidelines so that geo teams could use when submitting Direct File Input (DFI) ledger vouchers.

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Data Protection and Access Management

#### Objective:

Data protection: Verify data privacy, including how personal information (PI) and sensitive personal information (SPI) is handled by the incentives team.

System access and separation of duties; Verify that access to ISI system is controlled and proper separation of duties is maintained.

#### Risk/Exposure:

Data protection: Failure to protect PI and SPI could enable fraudulent activity that could result in dissatisfied employees, damage to employees and to IBM's image, and expose IBM to risk of litigation.

System access and separation of duties; Unauthorized access to or unapproved use of information could result in loss, misuse, and theft of client or IBM information assets and data. Failure to separate duties could allow an individual to misuse or divert company assets or perpetrate fraud without deterrence or timely detection.

# GLOBAL SALES INCENTIVES

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### CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Data Protection and Access Management

Primary Test: Data Protection (DA001.P)

Note: This process involves access to and use of both personal information (PI) and sensitive personal information (SPI). Such information must be protected so that only the minimum amount of information necessary to execute the process is shared with those who perform the process.

Objective:

Determine if personal information (PI) and sensitive personal information (SPI) for sellers are protected.

Approach:

#### **Global Sales Incentives**

Consider ways that PI and SPI could be compromised.

- Verify the proper labeling of IBM Confidential information.
- Verify that access to IBM Confidential information has been limited based on business need.
- Verify adherence to local country laws and regulations on data privacy, e.g., General Data Protection Regulation (GDPR).

Test: Privacy

Objective:

Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions are composed with two key areas of the business to help address compliance with these various high-level laws.

☐ IBM as a Controller – The Enterprise Privacy Baseline – Controller establishes the high-level requirements that IBM must meet when acting as a Controller of Personal Information (PI). That is, PI that IBM collects and processes for its own purposes, such as Business Contact Information that IBM holds on its existing or potential customers or suppliers.

☐ IBM as a Processor – The Enterprise Privacy Baseline – Processor establishes the principles and requirements that IBM must meet when acting as a Processor of Client Personal Information (PI) and applies to all products, offerings, and services (including their components) that IBM provides to Clients, regardless of whether IBM develops or re-brands them, or provides them for a fee or on a beta, trial, or no charge basis.

Approach:

Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

Testing:

#### IBM as Controller

If IBM is Controller, select a risk-based sample of Global Privacy Assessments for the processes and/or assets.

Complete the testing from the following link:

<https://ibm.ent.box.com/folder/204812837247?s=75253udkcr7jop7vs7vo3q571ya60pkp>

# GLOBAL SALES INCENTIVES AUDIT PROGRAM #58-00-00

## CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Data Protection and Access Management

Primary Test: Systems Access and Separation of Duties (DA002.P)

Note: Sales Managers' and Sellers' access to ISI is automatically controlled based on their role and reporting hierarchy.

Note: Separation of Duties (SOD) is a global assessment which is completed annually.

### Objective:

To ensure that non-Sales access to the ISI suite of tools is controlled in a timely manner to prevent unauthorized access to personal information. Appropriate management approvals should be granted and documented according to business need.

To ensure that separation of duties is maintained to reduce the risk that any single individual has responsibilities and/or access that would allow the individual to misuse or divert company assets or perpetrate fraud without deterrence or timely detection. Secondary controls that monitor and identify exceptions should be in place where conflicting tasks exist.

### Approach:

#### **Global Sales Incentives**

From a report of non-Sales users who have access to the ISI suite of tools for incentive data related to the unit being audited, select a sample of employees having access during the audit period.

- Request evidence from management that the selected employees are still performing roles requiring access to the ISI suite of tools.

Request a report of employees who left GSI or changed their GSI roles during the audit period. Review the date any applicable access change was requested compared to the date a change in the user's status called for the change.

Review the GSI process for monitoring / validating SOD for changes in employee roles and responsibilities.

- Review whether potential SOD conflicts were assessed and addressed as needed based on the roles and tasks performed by GSI employees.

Review the SOD assessment from the audit period to ensure compliance with corporate requirements.